A. EXECUTIVE SUMMARY

EXECUTIVE SUMMARY

Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Calayan for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P180,171,373.31	P163,293,079.91	P16,878,293.40
Total Liabilities	44,793,791.29	47,440,008.95	(2,646,217.66)
Total Government Equity	135,377,582.02	115,853,070.96	19,524,511.06
Results of Operation			
Total Income	96,094,537.12	86,577,322.59	9,517,214.53
Total Expenses	72,090,092.85	75,767,404.86	(3,677,312.01)
Appropriations, Allotments and Obligations			
Appropriations - Current	86,224,595.84	77,513,170.69	8,711,425.15
Appropriations - Continuing	12,709,302.62	11,738,680.30	970,622.32
Allotments - Current	80,955,592.74	74,162,375.37	6,793,217.37
Allotments - Continuing	4,513,108.62	4,314,000.28	199,108.34
Obligations – Current	76,407,291.79	71,772,537.35	4,634,754.44
Obligations – Continuing	2,623,711.60	3,370,181.68	(746,470.08)

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2014 were P180,171,373.31, P44,793,791.29 and P135,377,582.02 with an increase/(decrease) of 10%, (6%) and 17%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P96,094,537.12 and P72,090,092.85 which increased by 11% and decreased by 5%, respectively, from last year's figures.

Comparative Statement of Fund Transfers to and from NGAs, LGUs, NGOs and POs are as follows:

	2014	2013	Increase (Decrease)
Funds Received from Other Agencies:			
Due from NGAs	P 81,961.42	81,961.42	0.00
Due from GOCCs	6,978.61	6,978.61	0.00
Due from LGUs	1,489,192.24	1,435,708.02	53,484.22
Due from NGOs/POs	0.00	0.00	0.00
TOTAL	1,578,132.27	1,524,648.05	53,484.22

Funds Transferred to Other Agencies:			
Due to Other NGAs	144,104.48	6,000,000.00	(5,855,895.52)
Due to LGUs	1,220,631.17	1,059,736.41	160,894.76
Due to NGOs/POs	0.00	0.00	0.00
TOTAL	1,364,735.65	7,059,736.41	(5,695,000.76)

Funds received by the Municipality from Other Agencies amounted to P1,578,132.27 with an increase of 3% from last year's figures. On the other hand, funds transferred to Other Agencies amounted to P1,364,735.65 with a decrease of 81% .

A. Operational Highlights

For the year 2014, the Municipality of Calayan appropriated the total amount of P86,224,595.84 of which P77,513170.69 has been obligated as of year-end. Continuing appropriations for the year amounted to P12,709,302.62 which had a remaining balance of P1,889,397.02 as of year-end (see Annex 2).

The significant accomplishments of the Municipality during the year 2014 were as follows:

NAME OF PROJECT	SOURCE OF FUND	PROJECT COST	STATUS OF IMPLEMENTATION
1. Road Concreting			
a. Cararangtan Road, Cabudadan	20% Development Fund	200,000.00	100% Completed
b. Sitio 3, 4 & 5 Road, Dadao	20% Development Fund	300,000.00	100% Completed
c. Sappio Road, Balatubat	20% Development Fund	197,550.00	100% Completed
d. Rarasi Road, Dilam	20% Development Fund	194,578.00	100% Completed
e. Silpi Road, Dadao	20% Development Fund	199,744.00	100% Completed
f. Sibang Road, Dadao	20% Development Fund	193,186.00	100% Completed
g. Sappio Road, Naguilian	20% Development Fund	197,550.00	
2. Construction of Shore Protection Wall	20% Development Fund	198,925.00	100% Completed
3. Purchase of Garbage Truck for the Solid Waste Management Program	5% LDRRMF	180,000.00	100% Completed
4. Landbanking for the Construction of Community Airport, Dadao	20% Development Fund	599,842.00	100% Completed
5. Reforestation/Agroforestry	20% Development	199,990.00	100% Completed

Program	Fund		
6. Rice & Corn Seeds Subsidy	5% LDRRMF	349,500.00	100% Completed
7. Rehabilitation of Bridges (Municipalwide)	5% LDRRMF	481,672.00	100% Completed
8. Rehabilitation of School Buildings (Municipalwide)	5% LDRRMF	523,180.00	100% Completed

B. Scope of the Audit

A financial and compliance audit was conducted on the operations of the municipal government of Calayan, Cagayan for the year ended December 31, 2014. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Calayan due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P104,236,350.94 as of year-end.

D. Significant Findings and Recommendations

Financial and Compliance Audit

1. **Collections totalling to P3,101,314.06 was not deposited at the end of the year in violation of COA Circular No. 92-382 dated July 3, 1992 and Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.**

   We recommended that all collections of the municipality should be deposited intact and should be done regularly with its authorized depository bank pursuant to the aforementioned regulation. This is to avoid exposing the funds to the risk of loss, misapplication or misappropriation.

2. **The Municipal Accountant did not submit Bank Reconciliation Statements for CY 2014 which is contrary to the provisions of Section 74 of Presidential Decree No. 1445 and Section 3.2 of COA Circular No. 96-011.**

We recommended that the Municipal Accountant should regularly prepare and submit the monthly Bank Reconciliation Statements in compliance with P.D. No. 1445 and COA Circular No. 96-011. In doing so, appropriate adjustments shall be made to reconcile the bank and ledger balances and so with the cashbook balance of the Municipal Treasurer.

3. **Procurement of goods and services totalling to P2,140,280.00 were undertaken through alternative method of procurement, instead of public bidding, in violation of 2009 Revised Implementing Rules and Regulations of Government Procurement Reform Act of 2003, thus, the price obtained may not be advantageous to the government.**

We recommended that all procurement of goods and services shall be through public bidding. Alternative methods shall be resorted only in highly exceptional cases. The alternative method of procurement for shopping or small value procurement shall be adopted only whenever justified by the conditions and within the threshold provided by the procurement law.

4. **The municipality paid wages amounting to P6,001,683.28 in hiring an average of One Hundred Fourteen (114) contractual, casual and job order personnel without clear and written Program/Policy Guidelines in hiring or engaging the services of contractual/casual/job order employees, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

We recommended that management to formulate a Program/Policy Guidelines for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices in order to avoid excessive manpower and work duplication.

5. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P104,236,350.94 as of December 31, 2014 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

We recommended that the Local Chief Executive create a committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, pursuant to the provisions of Section 156 of COA Circular No. 92-386 dated October 20, 1992 and Section 124 of the NGAS for Local Government Units, Volume 1.

Value for Money Audit

6. **Appropriations amounting to P200,000.00 for Sports Development was included in the 20% Development Fund, of which the amount of P199,792.00 was expended, contrary to the DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011, thus, deprived the optimum utilization of the 20% fund intended for developmental projects and programs.**

   We recommended that Management, thru the Local Finance Committee, and all responsible officials in the preparation of the budget and utilization of funds, strictly adhere the guidelines to ensure that the utilization of the development fund are for purposes for which the fund is intended.

7. **Unexpended balance of Disbursement Acceleration Program (DAP) Fund received by the municipality for calendar years 2011 and 2013 amounting to P118,208.12 were not returned to the Bureau of Treasury, contrary to Supreme Court Decision G.R. No. 209287 dated July 1, 2014.**

   We recommended that management strictly comply with the Supreme Court decision on the reversion/remittance of the unexpended balance of DAP funds to the National Treasury.

E. Status of Implementation of Prior Year's Audit Recommendations

Of the eight (8) audit recommendations embodied in the 2013 Annual Audit Report, five (5) were fully implemented and three (3) were not implemented as shown in Part III of this report.